NEWS

Trump's tariffs threat compels Australia to pause big-tech levy



Australia's ambassador to the US, Kevin Rudd, and Prime Minister Anthony Albanese in Washington. Photo: Alex Ellinghausen

EXCLUSIVE

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Plans to threaten US tech giants such as Meta with hundreds of millions of dollars in Australian charges have been paused as ambassador to the US, Kevin Rudd, works to stave off trade retaliation from the Trump administration.

In the first shift in Australian policy since Donald Trump's election, the government has decided to go slow on a scheme to hit digital platforms if they refuse to pay local media outlets for news articles.

Publishers and tech firms had been told Labor would begin a public process to design the policy, dubbed the news bargaining incentive, in late January, but two Australian officials said the government would not move forward with the proposal until debate on US tariffs died down.

US President Donald Trump last week threatened reciprocal tariffs on "friend and foe" from April for domestic taxes placed on US goods, potentially ensnaring Australia and its GST just days after Prime Minister Anthony Albanese secured a promise from Trump to consider an exemption for steel and aluminium duties.

One media executive, who like the other sources could not speak publicly about confidential talks, said Labor had indicated in private the delay was driven by caution on any pronouncement that could be seen as punishing US firms, exposing tension between Australia's big tech agenda and Trump's relationships with X owner Elon Musk and Meta's Mark Zuckerberg.

One Australian official described dealings with the new US administration as characterised by "mayhem", in part because of the overhaul of personnel within US officialdom. The US runs a trade surplus with Australia and there are no tariffs on goods moving between the two nations.

Several sources said Rudd was playing a central role in calming the US about the effect of the news levy and that he was advising Australian ministers on how to proceed without provoking US fury.

Trump retreats, we need a plan B OPINION PAGE 23

Google has labelled the Australian move a "targeted tax" and Meta has claimed it would amount to a profitable US company needlessly subsidising Australian media, underscoring the potential for Australia's stance to be perceived as an attack on the US tech sector, which has gravitated towards Trump since his election last year.

Meta pulled out of a Morrison-era code, the first of its kind globally, to compensate news outlets to the tune of $70 million because it regarded the code as having set a precedent to slug US firms.

Labor still wants to proceed with the model to compensate media, sources said, but the delay had spooked media executives who feared the levy would be shelved if the tariff threat persisted. If the Coalition wins the election, it is unclear if Opposition Leader Peter Dutton will carry on the policy.

The *Herald* can also reveal federal cabinet last year landed on the news bargaining incentive instead of a more ambitious "tech tax". This was, in part, due to the prospect of US retaliation. The news incentive does not collect revenue for government coffers. Instead, it charges platforms if they decline to do deals with media outlets to pay for news, giving Australia room to say it would not punitively target US firms. A government spokesman said: "The government is continuing to work constructively with stakeholders on the news bargaining incentive."

Major publishers, including Nine Entertainment, which owns the *Herald*, are expected to be briefed by the government soon on the difficulty of immediately pushing ahead with the levy scheme.

The incentive will apply to Meta, owner of Instagram and Facebook, Google, TikTok's owner ByteDance and potentially Microsoft, owner of LinkedIn, and Apple.

The new policy is seen as critical to plugging a $200 million funding gap created by Meta's refusal to pay Australian media outlets. The amount tech firms would be charged has not been decided, although it is intended to reflect the size of previous deals.

On February 11, Communications Minister Michelle Rowland said the proposed framework was designed to encourage agreements between digital platforms and media companies. "The government has made it very clear that this is not targeted at any specific country," she said. "This is important for ensuring that Australian publishers are properly recompensed for the work that they undertake. That principle remains true."

Meta said few people used its platforms to read news, which media companies disputed.